

BUS13-1

Marketing Fundamentals

Marketing as a Decision Discipline

Marketing strategy is choosing what not to do.

Albert School — 22 hours

Contents

1	Marketing as demand-side allocation	2
2	Business strategy vs marketing strategy	2
3	Segmentation as strategic hypothesis	3
4	Targeting as capital allocation	3
5	Positioning as constraint	4
6	Brand as strategic asset	4
7	The marketing mix as an allocation trade-off	5
8	Pricing as strategic signal	5
9	Competitive landscapes: where not to fight	5
10	B2B vs B2C market adaptation	6
11	Financial impact of mix decisions	6
12	Auditing a marketing mix	6

1 Marketing as demand-side allocation

Marketing is a decision discipline, not an execution toolkit. Its object is the allocation of finite resources against demand: which customers to serve, which position to commit to, and how to spend a fixed budget. In the AI era, execution tasks (copy, media buying, asset production) are increasingly automated, which moves the scarce, defensible work to the demand-side decisions themselves — choosing where demand is, and what not to pursue.

The course is organised around a doctrine of three irreversible decisions:

Definition 1 **Where to Play** — which segments and markets the firm chooses to serve, and which it chooses to ignore. **How to Win** — the position the firm commits to within those segments. **How to Allocate** — how the fixed marketing budget is divided across levers. The decisions are irreversible in the sense that reversing them is costly and slow, so they must be made deliberately.

Brand is treated from day one as a compounding strategic asset: an asset whose value accumulates over time through repeated, consistent investment, rather than an output of individual campaigns.

2 Business strategy vs marketing strategy

Business strategy concerns the whole firm: which businesses to be in, how to create and capture value, how to structure costs and capabilities. Marketing strategy concerns the demand side: segmentation, targeting, positioning, and the marketing mix.

Marketing is a **lever** on business performance only when the binding constraint is on the demand side — when the problem is which customers to serve, how to be chosen, or how to allocate demand-generating spend. When the binding constraint is elsewhere (cost structure, technology, capital, regulation), marketing is not the relevant lever, and treating it as one wastes resources.

Common pitfall Not every business problem is a marketing problem. Before applying any marketing framework, identify whether the decision actually at stake is **Where to Play**, **How to Win**, or **How to Allocate**. If it is none of these, the situation is not primarily a marketing decision.

3 Segmentation as strategic hypothesis

A segment is a hypothesis about demand heterogeneity: a claim that demand is not uniform, and that distinct groups of customers want materially different things.

Definition 2 **Demand heterogeneity** is variation in what customers want and how they choose. Segmentation partitions a market according to this variation.

Two complementary bases are used:

- **Jobs-to-be-done:** customers “hire” a product to make progress on a job. A segment is defined by a job, not by the demographic identity of the customer.
- **Stated vs revealed preferences:** stated preferences are what customers say they want; revealed preferences are what their behaviour shows they want. The two diverge, and revealed preferences govern actual choice.

Definition 3 A segmentation is **strategic** when it would change resource allocation: serving one segment rather than another implies a different product, price, channel, or message. A partition that does not change any decision is a description, not a segmentation.

Common pitfall Personas that catalogue demographics or lifestyle but do not change any allocation decision are decoration, not segmentation. The test is whether the segment, if chosen, would change what the firm does.

4 Targeting as capital allocation

Targeting is the choice of which segments to serve. It is a capital-allocation decision: serving a segment commits product, channel, and budget to it, at the opportunity cost of the segments not served.

The broad-vs-narrow choice is the central trade-off:

- **Narrow** targeting concentrates resources on few segments, accepting a smaller addressable market for sharper fit.
- **Broad** targeting reaches across many buyers, accepting weaker per-segment fit for larger reach.

Definition 4 The **Ehrenberg-Bass perspective** holds that brands grow primarily by reaching all category buyers, not by deepening loyalty within a narrow segment. Most of a brand’s buyers are light buyers, and growth comes from increasing penetration across the whole category.

Definition 5 A **category entry point** (CEP) is a cue — a situation, need, or context — that a buyer associates with the category and that triggers consideration. Targeting in the Ehrenberg-Bass view means building association with many category entry points so the brand comes to mind across buying situations.

Defending the decision to ignore a segment requires quantifying its opportunity cost with market-sizing data: the size of the ignored segment, its growth, and the margin foregone by not serving it. Ignoring a segment is a defensible decision only when this cost is stated and accepted.

5 Positioning as constraint

Definition 6 Positioning is the choice of how the firm wants to be perceived relative to competitors within a frame of reference. A position is useful only insofar as it **constrains** future decisions: it rules options in and out.

Definition 7 A competitive frame of reference is the set of alternatives against which customers evaluate the offer — the category in which the firm chooses to compete. The frame determines who the competitors are and what the points of comparison are.

The distinction between differentiation and distinctiveness (Romaniuk):

Definition 8 Differentiation is being perceived as meaningfully different in what the product offers. **Distinctiveness** is being easily recognised and attributed to the brand, independent of whether the offer is different. Romaniuk's claim is that distinctiveness — being noticed and correctly identified — drives growth more reliably than differentiation.

A positioning statement must survive four stress tests:

1. Could a competitor copy it? (If yes, it does not distinguish the firm.)
2. Does it constrain decisions? (If it rules nothing out, it is not a position.)
3. Would anyone argue the opposite? (If no one would, it is a platitude.)
4. Could it be any company? (If it is generic, it positions nothing.)

A statement that fails any test is not yet a position.

6 Brand as strategic asset

Definition 9 Mental availability (Sharp) is the probability that a brand comes to mind in a buying situation. It is built through breadth of memory associations across category entry points.

Definition 10 Brand awareness is whether a buyer recognises or recalls a brand at all. Mental availability is distinct: it concerns how readily the brand comes to mind across the range of relevant buying situations, not mere recognition. A brand can be widely known yet poorly available at the moment of choice.

Definition 11 Distinctive brand assets are non-verbal elements — colour, shape, sound, character — that buyers attribute to the brand without seeing its name. Identifying a real brand's distinctive assets, using the Romaniuk framework, means listing such elements and assessing, for each, how uniquely and how strongly it is linked to the brand.

Definition 12 The **Binet & Field long/short framework** distinguishes **brand building** (broad-reach activity that builds memory and works over the long term) from **sales activation** (targeted activity that converts existing demand in the short term). Their benchmark allocation is approximately **60% brand building / 40% activation**, varying by category.

7 The marketing mix as an allocation trade-off

The marketing mix (the 4Ps — Product, Price, Place, Promotion — extended to 7Ps with People, Process, Physical evidence for services) is a framework of allocation trade-offs, not an optimisation checklist.

Definition 13 Allocating a fixed budget across the 4Ps is a **trade-off**: spending on one lever reduces what is available for the others, and optimising one lever constrains the feasible settings of the rest. The mix is coherent only when every lever supports the same position.

Allocating across the 4Ps therefore requires written justification for every trade-off: what each lever receives, what it gives up, and why the resulting combination is consistent with the chosen position.

8 Pricing as strategic signal

Price both captures value and signals position. Three pricing logics:

Definition 14 **Cost-plus pricing** sets price by adding a margin to cost. **Value-based pricing** sets price by the value delivered to the customer. **Competitive pricing** sets price by reference to competitors' prices.

Price is a **positioning signal**: the chosen price communicates where the offer sits relative to competitors. A pricing recommendation must state the explicit trade-offs between margin (per-unit profit), volume (units sold), and the positioning signal the price sends. Analysing real market pricing data means locating the offer's price among observed competitor prices and recommending a strategy in which these three are balanced deliberately.

9 Competitive landscapes: where not to fight

Mapping a competitive landscape uses public data: financials, web traffic, pricing, and stated positioning. The output is a one-page “where not to fight” recommendation supported by this evidence.

Definition 15 **Strategic avoidance** is the deliberate choice not to compete where a competitor is strong or where the firm cannot win. **Indirect competition** is competition from offers outside the obvious category that serve the same job-to-be-done.

Identifying “where not to fight” is the competitive counterpart of **Where to Play**: choosing the contests to decline, with evidence, rather than contesting every front.

10 B2B vs B2C market adaptation

The frameworks above apply to both B2B and B2C, but their inputs differ. B2B markets typically have fewer, larger buyers; buying decisions involve multiple stakeholders rather than a single individual; and purchases follow longer, more formalised processes. B2C markets typically have many individual buyers, shorter decision processes, and a larger role for distinctive assets and mental availability at the moment of choice. Segmentation, targeting, positioning, and the mix must be adapted to these structural differences rather than applied identically.

11 Financial impact of mix decisions

Marketing-mix and pricing decisions are evaluated by their financial impact, estimated with a simplified P&L scenario.

Definition 16 A **simplified P&L scenario** projects revenue (price $\times$ volume) minus variable costs minus marketing spend to estimate the contribution of a given set of mix decisions. Comparing alternative decisions means comparing their projected contributions under stated assumptions.

This makes the trade-offs in the mix and in pricing quantitative: alternative allocations and prices produce different projected margins, volumes, and contributions, and the recommended decision is the one whose projected impact, under explicit assumptions, best fits the chosen position.

Comparing the Binet & Field 60/40 benchmark against a real company's brand-vs- activation spend split is one such comparison: state the company's observed split, compare it to the 60/40 benchmark, and recommend an adjustment justified by the company's category.

12 Auditing a marketing mix

Auditing a company's marketing mix means checking each lever against the company's stated positioning and flagging concrete contradictions. Typical contradictions:

- premium positioning undermined by discount pricing;
- a job-to-be-done misaligned with the targeted segment;
- short-term activation cannibalising long-term brand equity.

A contradiction is reported only when it is concrete — tied to a specific lever setting that conflicts with the stated position — not as a general impression.

Exercises

1. Take a business situation and classify it as **Where to Play**, **How to Win**, or **How to Allocate**. State which single decision is actually at stake.
2. Segment a market using demand heterogeneity and jobs-to-be-done. For each segment, state the allocation decision it would change. Discard any segment that changes none.
3. Choose one segment to ignore. Quantify its opportunity cost using market-sizing data and defend the decision to ignore it.
4. Draft a positioning statement and apply the four stress tests: could a competitor copy it; does it constrain decisions; would anyone argue the opposite; could it be any company. Revise until it passes all four.

- 5.** For a real brand, list its distinctive assets (colour, shape, sound, character) using the Romaniuk framework, and explain how mental availability differs from brand awareness for that brand.
- 6.** Allocate a fixed marketing budget across the 4Ps. Justify every trade-off in writing, showing how spending on one lever constrains the others.
- 7.** Analyse real market pricing data for a category. Recommend a pricing strategy stating the explicit trade-offs between margin, volume, and positioning signal.
- 8.** Map a competitive landscape from public data (financials, traffic, pricing, positioning) and write a one-page “where not to fight” recommendation with evidence.
- 9.** Audit a real company’s marketing mix against its stated positioning. Flag concrete contradictions.
- 10.** Build a simplified P&L scenario for two alternative marketing-mix decisions and compare their financial impact.
- 11.** Compare a real company’s brand-vs-activation spend split against the Binet & Field 60/40 benchmark and recommend an adjustment with category-specific reasoning.